



## COMMON TYPES OF TAXES

Business owners may have to pay many different types of taxes, depending on the nature of their business and the

country in which it is registered (see pp.212-215). The most common types of taxes include the following:

### Sales taxes



In many countries, a sales tax, or value-added tax (VAT), is added to the price of most goods and services. Your business may be required to register for sales tax if revenue exceeds a certain threshold. The amount of sales tax you receive can be offset against sales tax paid out, and the balance is paid to the government.

### Company taxes



If you set up your business as a company, you will need to register it in order to pay tax, file an annual tax return, and pay tax on profits. The tax rate will vary depending on national tax law but is often a flat rate. Late tax payments usually incur a penalty, which is added to the total tax amount owing.

### Income taxes



Sole proprietors or individuals in a partnership will pay tax on profits made through their business activities as though they were employees. If you are a director or employee of your company and are paid dividends or wages from the company, you will pay tax on these personal earnings, which are treated separately from company tax.

### Other taxes



It is common for taxes to be levied by local authorities and jurisdictions, even at city level. For example, in the US, businesses with commercial or industrial premises pay business rates to their local authority, in addition to tax paid to the federal government. Small businesses can often claim a discount or relief on business rates, especially if profits are below a certain threshold.

### Gross profit

This is the amount of money that remains after expenses and taxes have been deducted. Investing in the business increases expenses and therefore reduces gross profit.

### Tax

This must be paid according to the tax system of the country in which the business is registered. Paying tax remains a legal requirement in most countries.

### Net profit

This is the amount of profit left after taxes have been paid. This amount is available for the business or for the owner in the form of a dividend.

